Kitty

An AI-run savings circle for diaspora communities

Concept design for the PayPal AI Hackathon (Devpost) · Deadline: Nov 12, 2026, 2:00pm PST

The problem

Rotating savings circles are one of the oldest financial tools in the world. Zimbabweans know them as mukando and South Africans as stokvel, and they also go by susu, tanda, chit fund, hui and paluwagan. Each member pays a fixed amount every round, and one member takes the whole pot. They work on trust, but in practice they run on WhatsApp groups, spreadsheets, and one exhausted treasurer chasing late payers.

Diaspora communities in the UK, US, Canada and Australia still run these circles, and they live where PayPal works fully. So the impact story is credible and global, with a real cultural root.

Why it stands out

It isn't a checkout or invoice bot. It's a multi-party money system where AI does real work at every step: running the group, enforcing rules, negotiating between members, and moving money on schedule. Most entrants won't think of it, and PayPal judges will see a use of their platform they haven't seen before.

How it works

1. **Setup.** Someone describes the circle in plain language, in any language: "10 of us, £100 a month, pot goes to whoever needs it most, late fee £5." The AI drafts a written constitution covering payout order, late rules, exit rules and emergency rules. Every member reviews it, and accepting it is their vaulted consent to pay each round.
2. **Contributions.** Each round, every member pays through PayPal. Payments route straight from contributor to that round's recipient, using the Orders payee field, so the platform never holds the pot. That design decision keeps this from being a money-transmitter business. Missed payments trigger a PayPal invoice and polite reminders in the member's language. Webhooks update the circle's live ledger.
3. **Payout-slot negotiation (agent-to-agent).** The showpiece. A member's rent jumps and they need the pot in March instead of September. Their personal agent opens a swap request. Other members' agents evaluate it against preferences their owners set (for example, "I'm happy to wait if someone offers at least a £10 thank-you"). They negotiate, and the agreed thank-you fee settles automatically through PayPal when both humans confirm.
4. **Trust layer.** The AI keeps a reliability history for each member from on-time payment events. It warns the group early when patterns suggest someone is struggling, framed supportively, offering

a smaller contribution or a delayed slot rather than shaming. It answers "where's my money?" from the ledger instantly, and drafts a neutral summary when members disagree.

5. **End-of-cycle report.** Who paid what and when, total fees, and a plain explanation each member can trust.

PayPal usage

Kitty uses Orders with a per-round payee, vaulted payment methods for scheduled contributions, Invoicing for arrears, Webhooks for state changes, and either Payouts or direct member-to-member orders to settle swap fees. Reporting powers reconciliation. This makes a strong case for the Best Use of PayPal + AI and Best Use of Agentic Commerce prizes, as well as Most Impactful.

Hard parts worth solving and showing

- **Consent.** No agent moves money without that member's mandate. Swap fees require both humans to tap approve.
- **Fairness.** Payout ordering is explainable. The AI states why it suggested an order, and the group can override it.
- **Failure handling.** If a payer fails mid-round, the policy engine decides between retry, invoice, or a group vote. That logic is deterministic code, not LLM judgment.

Demo arc (3 minutes)

Show a circle created in Shona or English, round one paid in the sandbox, the recipient's balance landing, a late payer getting an invoice, then the swap negotiation between two agents settling a £10 fee live. Finish on the ledger.

Backup ideas

Escrow by evidence

Cross-border freelance and contractor jobs where the client's payment is authorized up front but captured in milestones. The AI checks submitted evidence against the contract's acceptance criteria: GitHub commits, photos of completed work, delivery documents, or IoT sensor readings. It then captures partial payments as milestones pass. If a dispute happens anyway, it builds the evidence packet automatically. Before committing, check PayPal's limits on how long an authorization can be held, because they will shape the design.

Dispute copilot for small merchants

Pulls open disputes through the Disputes API and gathers proof from orders, shipments and messages. It drafts the response and tells the merchant honestly whether fighting is worth it. A prevention mode flags risky orders before they ship. Less flashy, but PayPal engineers feel this pain daily, and it could score very well on technical depth.

Recommendation

Kitty is the most unique option and has the strongest emotional pitch, with a clear agent-to-agent moment no other entry is likely to have. FlockPay (the PoultrFarm-based concept) is the safer alternative because it builds on an existing product.